

\$4.79b. in 1992 and \$2.14b. in 1993. The total loss of \$12.8 billion in four years was nearly four times the cumulative \$3.3b. profit it had earned from the time of the Wright Brothers' flight at Kitty Hawk through 1989. The price/earnings ratio for the DJTA for those years was infinite. A price-cutting war broke out, and some individual companies went bankrupt.

Despite yet another these woes, the Dow Jones Transportation Average climbed to yet another all-time high on February 2, 1994. On the day of that high, it registered a dividend yield of 1.034%, less than half of the lowest yield of any other stock index in U.S. history, with essentially no earnings to guarantee that there would be any dividends *at all* in coming years. Now it appears that we may witness yet another new high, and if so, a new all-time low yield for any U.S. stock index, possibly *under 1%*.

As history's great financial manias demonstrate, anything is possible, at least temporarily, in the sunny world of investor hope and imagination. As the transportation companies have now edged back "in the black," investors must be sharing a vision of a dramatic, indeed unprecedented, turnaround in the fortunes of the industry. Investors who own airline stocks today must be anticipating a worldwide executive order outlawing travel by any method other than airplane. Unfortunately, the federal government has nearly guaranteed the bankruptcy of the remaining healthy airlines by allowing the "Chapter 11" cases to continue flying with cheap fares. The debt built up in the form of "frequent flyer" miles owed to customers will add to the strain in coming years. The frequent flyer program, a child of the bull market, was started in 1981. As Figures 6-9 and 6-10 reveal, participation in the program accelerated dramatically in 1988. At the end of 1994, the public owned a credit of 650 *billion* miles of air travel, and the total is still rising, now faster than ever. "Collecting Bonus Miles," says a November 1994 headline in *USA Today*, "Now a Mania." The airlines issue these credits to reward people who fly, order flowers, take a language course, stay in certain hotels, rent cars, call long distance, or even invest in a mutual fund. This frenzied purchase of customer goodwill has been paid for with future obligation, so it is simply debt, a huge debt. Already, nonpaying flyers account for 7% of the seats filled on the average flight by major carriers. When the depression arrives, that percentage will soar. The industry's debt to its best consumers is now huge, and their ability to pay it is negligible. The problem is